

ALABAMA DEPARTMENT OF REVENUE
ADMINISTRATIVE CODE

CHAPTER 810-3-25
ESTATES AND TRUSTS

**810-3-25-.04 Estates And Trusts Tax Computation, For Taxable
Years Beginning Prior To January 1, 2005.**

(1) Estates and trusts are taxed at the same rate as a single individual - see §40-18-5(1), Code of Ala. 1975. Those rates are two percent of the first \$500.00 of taxable income, four percent of the taxable income in excess of \$500.00 and not in excess of \$3,000.00, and five percent of taxable income in excess of \$3,000.00.

(2) A resident estate or trust that has gross income taxable in Alabama and another state will be allowed a credit for net income taxes paid the other state on such income as provided in §40-18-21. See Rule 810-3-21-.01.

(3) The Subchapter J and Business Trust Conformity Act, Act 2006-114, was passed by the Alabama Legislature effective for taxable years beginning after December 31, 2004 - please refer to the regulations promulgated to implement the new act.

Author: Ron Bedsole, Ed Cutter, CPA

Statutory Authority: Code of Ala. 1975, §§40-2A-7(a)(5), 40-18-25.

History: Adopted September 30, 1982. Amended June 17, 1988; filed July 27, 1988. **Amended:** Filed March 31, 2000; effective May 5, 2000. **Amended:** Filed December 27, 2006; effective January 31, 2007.